EXECUTIVE SUMMARY

A. Introduction

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA", which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 25,405 and based on the statistics of the last election, a total of 15,133 were registered voters.

For CY 2019, the Municipality of Piat had a total of 140 personnel complement, with 79 permanent, 12 elective, 2 co-terminus, 6 casual employees and 41 job order.

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2019 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year-ended December 31, 2019, with comparative figures for CY 2018 are as follows:

Financial Position	**2019**	**2018**	**Increase/(Decrease)**
Total Assets	270,870,370.35	265,035,939.80	5,834,430.55
Total Liabilities	65,800,080.02	64,628,603.92	1,171,476.10
Total Government Equity	205,070,290.33	200,407,335.88	4,662,954.45
Financial Performance			
Total Income (Includes Subsidy from Other Funds)	109,781,838.79	103,488,903.56	6,302,935.23
Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	100,488,671.36	78,460,025.04	22,028,646.32
Appropriations, Allotments and Obligations			
Total Appropriations-Current	122,912,764.00	98,981,149.00	23,931,615.00
Total Obligations	88,756,293.13	73,073,905.96	15,682,387.17
Appropriations-Continuing	45,680,554.73	47,937,242.58	(2,256,687.85)
Obligations-Continuing	24,659,757.11	14,581,892.92	10,077,864.19

In CY 2019, the Municipality of Piat received funds from other government agencies totaling P17,312,500.00 and there had been no transferred funds to barangays:

Funds Received from:	2019	2018	Increase/(Decrease)
National Government Agencies (NGAs)	**9,312,500.00**	**20,550,153.24**	**(11,237,653.24)**
Local Government Units	**8,000,000.00**	**-**	**8,000,000.00**
Non-Government Organizations/People's Organizations (NGOs/POs)	**-**	**-**	**-**
Others	**-**	**-**	
Total	**17,312,500.00**	**20,550,153.24**	**(3,237,653.24)**

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Piat for the year ended December 31, 2019 due to deviations from prescribed procedures and non-compliance with rules and regulations resulting in accounting deficiencies, thus, affecting the financial statements.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **The accuracy and propriety of the Cash in Bank - Local Currency, Current Account totalling to P130,294,901.35 is doubtful due to the: (a) negative balance of Cash in Bank under the Special Education Fund amounting to P1,930,477.24; (b) non-presentation & non-recording of reconciling items of Bank Reconciliation Statements in the books; and (c) non-adjustment of stale checks, which are contrary to Section 112 of PD 1445 and other existing standards, rules and regulations.**

   In view of the foregoing, we recommended that the Management:

   a. Instruct the Municipal Accountant to exert more time and effort to trace, verify and reconcile the balance of Cash in Bank under the Special Education Fund and make appropriate adjustments to correct the abnormal balances;

   b. Require the Municipal Treasurer to activate the dormant depository account maintained for SEF to avoid occurrence of the abnormal balance on the account;

c. Require the Municipal Accountant to cause the immediate preparation of adjusting journal entries to identify and record all reconciling items identified in the Bank Reconciliation Statements; and

d. Instruct the Municipal Accountant and the Municipal Treasurer to cancel the stale checks after exhaustion of all remedies, such as written notices to the payees and submission of the corresponding DVs and supporting documents. If cancellation is not possible despite written notices, the corresponding amounts of the stale checks may be reverted back to the book balances with the recording of accounts payable.

2. **Road Networks account, with net book value of ₱15,945,068.35, cannot be ascertained whether this represents the entire road networks of the Municipality due to non-compliance with the accounting and reporting procedures prescribed in COA Circular No. 2015-008 dated November 25, 2015, which resulted to the incomplete recognition and presentation of the Infrastructure assets account in the financial statements.**

We recommended that the Management:

a. Conduct physical count of Local Road Networks and prepare the RPCLRN;

b. Update the Registry of Public Infrastructures, through a detailed review of prior year's transactions, in order to identify the entire Road Networks of the Municipality;

c. Complete Local Road Inventory records with Road Map and Local Road Network Property Cards and submit the said Report prepared by the Inventory Committee as shown in Annex A of COA Circular 2015-008; and

d. Make proper disclosures in the Notes to Financial Statements as regards all Road Networks pursuant to COA Circular 2015-008.

3. **The account Due to NGAs totalling to P10,757,814.03 could not be relied upon due to the: (a) presence of negative balances of some accounts aggregating to P122,171.70; (b) discrepancy between the subsidiary ledger of Due to NGAs under General Fund of P3,671.00; and (c) absence of accounting records and numerous adjusting entries made on the errors discovered in CY 2019, contrary to Section 111 of PD 1445 and COA Circular No. 94-013 dated December 13, 1994.**

We recommended that the Management:

a. Submit an explanation on the occurrence of the noted negative balances in the Due to NGAs account;

b. Instruct the Municipal Accountant to reconcile with the Accountants of the different Source Agencies for all funds received to determine the correct balances still due for liquidation; and

c. Require the Municipal Accountant to review all existing fund transfers and return all unused or unexpended balance upon completion of the project, if any.

4. **Construction in Progress account totalling to P10,296,466.46 remained in the books for a long period of time without any movement and were not closed to their appropriate asset accounts upon completion of the project/s, contrary to Sec. 50(4) of the Manual on the New Government Accounting System for LGUs, Volume I, thereby misstating the accounts affected.**

   We recommended that the Management require the officers concerned to analyze and evaluate the status of work of each project in the Construction in Progress account and close the same to its appropriate asset account, if warranted.

5. **The accuracy and reliability of Real Property Tax Receivables and Special Education Tax Receivables amounting to P8,050,947.19 and P8,050,947.27, respectively, could not be ascertained due to: (a) non-reconciliation with its reciprocal accounts, Deferred Real Property Tax Income and Deferred Special Education Tax Income, respectively; (b) non-setting up of the amount of collectible for the year; and (c) non-movement of the accounts for the year, contrary to Section 20, Chapter 3, Volume I of the Manual on the NGAS for LGUs. More so, the Municipality recorded a minimum amount of collection due to lack of intensive tax campaigns and non-enforcement of remedies against delinquent taxpayers as provided under Section 254(a) of RA No. 7160 or the Local Government Code.**

   We recommended that the Management:

   a. Require the Municipal Accountant to make a detailed analysis of the RPT/SET Receivables and its corresponding reciprocal accounts and to record the adjusting entries pertaining to the unreconciled RPT/SET Receivables and Deferred RPT/SET accounts;

   b. Instruct the Municipal Treasurer to prepare a complete and accurate list of taxpayers indicating the amount due and collectible for the year, including delinquencies and penalties and to furnish the report to the Municipal Accountant, which shall serve as the basis in setting up the RPT/SET Receivables for the year; and

   c. Intensify tax collections thru the formulation of strategies to improve collection of real property taxes and encourage the involvement of barangay officials in the tax campaign to reach out to a larger area.

E. Summary of Total Suspensions, Disallowances and Charges

As of December 31, 2019, the Municipality of Piat, Cagayan had unsettled disallowances totaling to P1,397,303.29. There were no issued Notices of Suspension, Notices of Disallowance and Notices of Charge for the year. The details of unsettled disallowances are as follows:

Date	ND No.	PAYEE/PAYOR	Outstanding Balance as of 12/31/19
02/06/2014	ND No. 2014-101-001 (2013)	Various	122,800.00
02/06/2014	ND No. 2014-101-002 (2013)	Various	422,000.00
27/08/2015	ND No. 2015-101-001 (2014)	Various	53,440.79
28/09/2016	ND No. 2016-101-001(2013)	various	299,062.50
19/03/2018	ND No. 2018-101-001-(2013)/(2016)	Ms. Josefina B. Mamaba and VM Leonel C. Guzman	500,000.00
TOTAL			**1,397,303.29**

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 19 audit recommendations embodied in the CY 2018 Annual Audit Report, six (6) were implemented, seven (7) were partially implemented and six (6) were not implemented.